



16 November 2012

Mr Anatoliy Zhuk
GK Globus
Russia

Dear Anatoly

RE: Initial Golf Services - Proposal

Further to our recent meeting on 29 October at your offices in Moscow and the receipt of some further project information through Valentin, I am delighted on behalf of Braemar Golf ("Braemar") to submit this initial proposal to GK Globus ("Owner") regarding the golf elements of the Magic World project near Krasnador ("Project").

After careful consideration of our discussions and considering the status of the project, we propose an initial stage of works to progress the golf element of the project in the following areas;

- Create a clear vision, strategy, concept and business plan for the golf.
- Set out the methodology, resources, schedule and budget for the golf course construction – based on the principle of Braemar Golf providing a construction management service, working with GK Globus construction company and resources.

We have, over the past few years, provided these types of services to a number of clients, some within the Russian Federation and Eastern Europe and believe that with our experience and professional approach we can help ensure that the golf business plan and construction are professionally planned and prepared for the next stage of execution.

I have purposely tried to keep the document concise and to the point and the next step may be to commence with a "project meeting" on site to agree the final scope and contract.

SCOPE OF WORK

Phase 1

A. Planning Meeting & Site Visit

The objective would be to familiarize ourselves with the site, GK Globus team, resources and capabilities and set out an initial schedule and targets to achieve the 2 main objectives set out above.

- A.1. Braemar would send 2 executives (operations and construction specialists), for a project planning meeting and site visit to the Project, estimating 2 days on site and 2 days travel.

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- A.2. Meet with all relevant parties to ensure a full understanding of the wider project development and aims, potential business models, vision, investor requirements etc.
- A.3. Familiarise ourselves with the site, developing golf course design, meet the Owner's project team and assess the capabilities of constructing the golf course with Braemar providing construction management to the Owner's construction company / team.
- A.4. Finalise the scope of services, timescales and fees for the remaining scope proposed below.

Phase 2

B. Strategy & Business Plan

Following the initial site visit and discussions, Braemar would commence work on creating the "Strategy and Business Plan" for the golf facilities at the Project.

- B.1. Create a "Benchmarking" report consisting of golf projects in Russia that currently exist as well as some international examples of projects with similar concepts. This would consider project facilities, strategy, pricing, performance (where possible) etc.
- B.2. In conjunction with the Owner, develop the initial discussions into a high level operating strategy and business model. This would recommend
 - B.2.1. The overall vision and positioning of the club.
 - B.2.2. The operating model of the golf facilities ie resort, semi private, private etc.
 - B.2.3. The membership and access programmes / structures.
 - B.2.4. The Departmental operating strategies.
 - B.2.5. Indicative pricing policies.
 - B.2.6. A Summary sales and marketing strategy.
 - B.2.7. A High level financial projections with sensitivity analysis to test the models.
 - B.2.8. A draft Development Budget.

Please note:

This will not include any legal advice on the proposed structure of memberships or future legal documentation required for this.)

C. Infrastructure Design Stage Support

- C.1. Braemar Golf would review and advise the Owner on the existing "Design Programme" created by the building architect ("Architects") to ensure the design brief for the infrastructure support the overall vision, operating strategy and the financial impact of operating the facilities is considered.



- C.2. Braemar Golf would work closely with the Architects to finalise the design brief and area programme for the infrastructure, including attending design charrettes, workshops, participating in conference calls etc.
- C.3. Braemar Golf would assist the Owner in reviewing the general master plans for the various golf infrastructure components, to ensure the access, parking, views, services, customer journeys etc are well planned and efficient.
- C.4. Braemar Golf will assist the Owner in reviewing the designs and plans produced by Architect, through concept and design development stages before progressing to the Technical Design stage. This would entail detailed reviews of all plans produced by the Architect, including floor plans, elevations, facades, sections etc.

D. Golf Course Construction Planning

Braemar would create a construction “methodology” document that assesses the capabilities of the Owners construction company to build the golf course under the construction management services of Braemar. The methodology would;

- D.1. Examine the design drawings and specifications provided by the GCA and offer input into reviewing and approving these specifications.
- D.2. Set out the construction methodology and through this process identify value engineering opportunities.
- D.3. Identify all project requirements in terms of personnel (specialists to be brought in and construction team), machinery and equipment, materials, documentation and project management systems.
- D.4. Assist the Owners Construction company to price the whole works and set out a construction schedule.

This would take the construction project to the point of “mobilisation” and with approval to proceed Braemar would source and assemble te specialist construction management team and personnel.

Schedule of Works

Braemar Golf would complete all the above Scope of Work within a four month timescale. The timing of certain tasks will be dependent on the GCA and Architects producing the plans and specifications.

Braemar Golf Resources

Braemar Golf would use the following team to carry out the Scope of Works.



- Keith Haslam (Managing Director) would provide expertise and experience into all aspects of the work and sign off all submissions and recommendations.
- Michael Braidwood PGA (Operations Director) would contribute to the Design Briefs and design reviews for the Golf infrastructure as well as the Operating Strategy & Pre Opening Plans.
- Andrew McIntyre (Commercial Director) would coordinate works and contribute expertise in the creation of the financial projections and commercial structure and the review and analysis of submissions.
- Jonathan Pendry (Golf Courses Director) would assist with the Design Brief and design reviews for the Maintenance Facility, as well as contribute to the golf course construction planning and methodology.
- Paul Avison, (Golf Course Superintendent, Russia) would assist the Golf Courses Director in any golf course maintenance and construction matters.

Proposed Fee

Phase 1

- Fee of \$9,600 (exc vat) for the visit by 2 Braemar executives, for a 2 day site visit and follow up report.
- Expenses for travel (economy), accommodation (4*), in country travel and subsistence (excluding alcohol) and any other reasonable out of pocket expenses will be recharged (or booked directly by the Owner) at cost plus 10% administration fee.

Phase 2

- Fee of \$70,000 (exc vat) for the scope of phase 2.
- Expenses for travel (economy), accommodation (4*), in country travel and subsistence (excluding alcohol) and any other reasonable out of pocket expenses will be recharged (or booked directly by the Owner) at cost plus 10% administration fee.

Terms

Phase 1 to be invoiced and paid 100% prior to any travel being booked or the visit taking place.

On approval to commence phase 2, Braemar would invoice a commencement fee of 50% of the value of the work, to be paid within 14 days of receipt of invoice.

The remaining 50% of the fees would be invoiced 30% on submission of the Strategy & Business Plan and the remaining 20% on satisfactory completion of the scope of work.



Any travel, accommodation and appropriate business expenses are not included within the fee proposal and would be re charged at cost plus 10% administration fee. These would be pre-approved in advance. Alternatively we could include costs within a revised fee proposal if you wish.

Please let me know if the above meets your current requirements. We believe this scope of work and the phasing will provide solutions to your immediate priorities and ensure appropriate planning for the construction and planning of the golf facilities. This will leave you in the position to consider what management option will deliver the right results and suit your requirements without having to commit at this stage.

We of course are open to suggestions from yourself and look forward to hearing from you in the near future.

Yours sincerely,

Keith Haslam
Managing Director

Cc: Valentin Bondarenko